SemiAnalysis x Nanyang Capital

Stock Pitch Challenge 2026

Written report

Arm Holdings plc

NASDAQ: ARM | SHORT

Reference price: $227.80 (16 October 2026 close)

Target price: $125.00 by 16 October 2027

Expected price downside: 45.1%

We expect Arm to grow substantially, but believe its share price already assumes too much of that growth. Our base case reaches management's $25 billion revenue ambition for FY2031. We assess what those sales could be worth after compensation costs and reinvestment.

Team Name: Red Bull

Research cut-off: 17 October 2026

Fiscal year ends 31 March. All amounts in USD unless stated otherwise.

Investment recommendation

We recommend a one-year short position while allowing for strong growth in the business.

Recommendation

SHORT ARM at a $227.80 reference price; target $125 by 16 October 2027. Gross price downside is 45.1%; modelled return on initial short notional is 39.1% after a 6% annual borrow assumption. We have moderate conviction: stronger execution could push the shares higher, and we have not confirmed the availability of stock to borrow.

Reasons for the short:

1. The current valuation leaves little room for disappointment. Our FY2028 revenue forecast matches the public consensus snapshot at $8.25bn and rises to $25bn by FY2031. Yet today's price is 74.4x consensus FY2028 adjusted EPS. The target retains a premium multiple rather than assuming Arm becomes a low-growth chip vendor. [4, 7]

2. Selling CPUs brings a different cost structure. Selling CPUs expands the revenue opportunity, but requires product delivery, capacity and customer support. Our base model reaches $15bn of CPU sales in FY2031. At a 50% CPU gross margin, blended margin falls as silicon grows while gross profit still rises strongly. The short rests on the price paid for those profits, not on margin mix alone. [4]

3. Stock compensation reduces the value available to shareholders. Paying employees with shares is a recurring cost to shareholders. We include this cost in our earnings and cash-flow estimates, and test how the valuation changes with lower discount rates and higher margins. Even the combined favourable sensitivity values the shares at about $173 at the horizon, below the entry price.

Valuation measure	Estimate	Interpretation
12-month trading target	$125	40x street EPS / 45x own operating EPS proxy
12-month DCF value	$89.63	Fundamental cross-check; not the trading target
Full operating bull case	$346.89	58.3% short loss after assumed borrow
Potential catalyst	Next four earnings cycles	Cash conversion and costs constrain the multiple

Where we differ from consensus: the public snapshot shows a Buy rating and $290.71 average target; our $125 is 57.0% lower. FY2028 revenue is unchanged versus that snapshot and our operating EPS proxy is 7.2% lower. Most of our downside therefore comes from the multiple. Our view is that the price puts too much weight on future CPU success. We cannot know every analyst's assumptions. [7]

Eligibility and scope

Arm is a US-listed semiconductor IP and CPU company. The 29 September close of $293.67 implies approximately $313.6bn of equity value using 1.068bn reported shares, comfortably above the $500m threshold. This is a share-count proxy, not an exact historical capitalization. Eligibility is assessed at 29 September 2026 close. Our recommendation uses the 16 October 2026 closing price, with a target date of 16 October 2027. [1,3,6]

Price and market data: [6,7]. Consensus snapshot updated 18 September. Illustrative 50%-collateral XIRR: 75.3%; assumptions in Appendix 4. No probability-weighted target is asserted.

Business and industry overview

Arm can benefit from AI infrastructure through both customer royalties and its own CPU products.

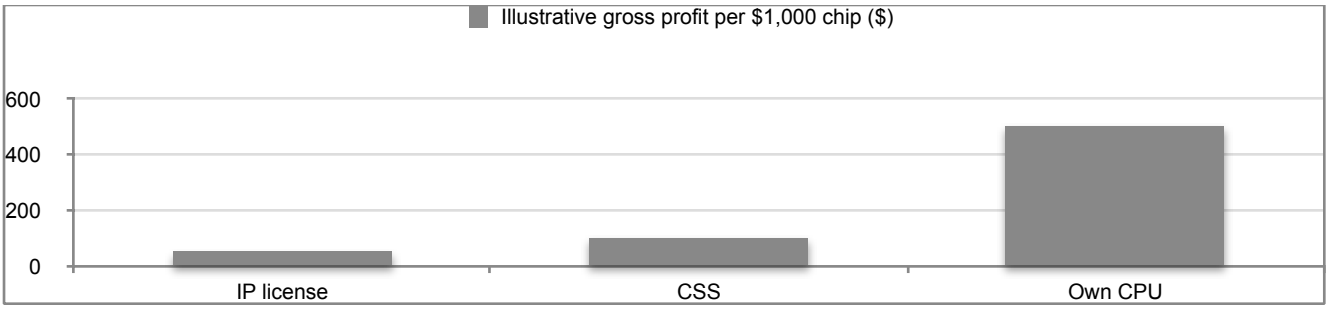
How Arm earns revenue

The established IP business licenses processor designs and earns royalties when customers ship chips. Its software ecosystem, compatibility and long design cycles support a durable franchise. Moving into complete CPUs captures more value per deployment, while adding product and supply-chain responsibilities. Hyperscalers can remain IP customers while developing alternatives to Arm-branded silicon.

Route to market	Economic attraction	Constraint to model
IP licenses and royalties	High gross margin - many customers can succeed	License timing and shipment mix, negotiated economics
Compute subsystems (CSS)	More IP content per design	Adoption and royalty uplift take time to monetize
Arm-owned CPUs	Much higher revenue per deployment	Manufacturing cost, capacity, qualification and support

The data-centre CPU opportunity

Management's FY2031 data-centre CPU opportunity exceeds $100bn. The far larger accelerator market is not interchangeable with CPU revenue. A $15bn CPU forecast therefore already represents roughly 15% of a $100bn reference market. Reaching this level would require a substantial market share. [4]



Management's illustrative economics: 5% IP royalty, 10% CSS royalty, or 50% gross margin on a $1,000 own-chip sale. These are explanatory examples, not universal royalty rates or disclosed selling prices. [4]

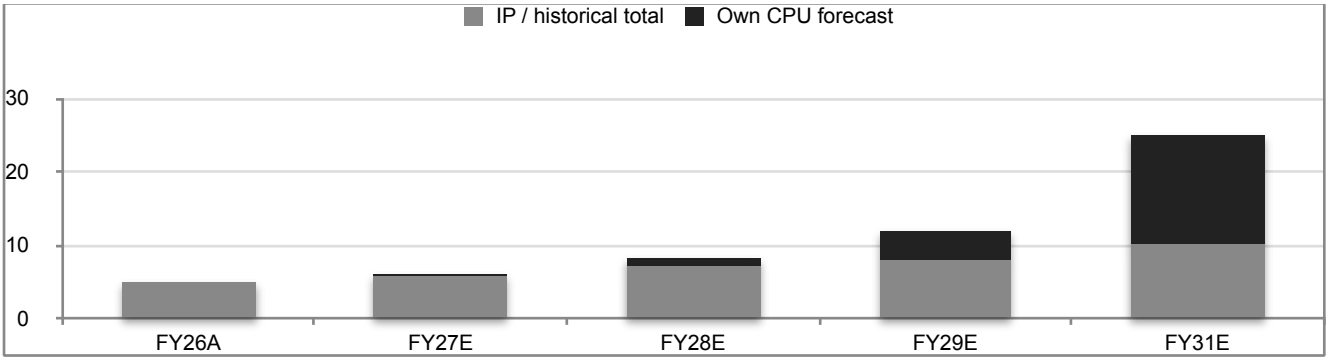
Competition and customer concentration

AMD and Intel compete in server CPUs; customer-designed Arm CPUs also compete for workloads and budgets. Arm receives royalties on some ecosystem growth even when its own CPUs do not win. That cushions the franchise but does not remove the need to justify the incremental silicon valuation. Our forecast explicitly preserves strong IP growth.

Related parties supplied 30.5% of FY2026 revenue and the five largest customers 57%. License revenue growth was concentrated in related-party business while external license revenue fell. This raises questions about how repeatable the growth is but does not imply improper accounting. We therefore forecast royalties separately from large license agreements. [2]

Operating forecast

Our base forecast reaches management's FY2031 revenue ambition and still produces a valuation gap.



FY2026 is historical total revenue, not a separately disclosed IP segment. Forecast IP/CPU allocation is our analytical split. Arm does not report these as separate GAAP segments. [2,4]

USD bn, except EPS	FY27E	FY28E	FY31E
Revenue	6.06	8.25	25.00
Gross profit	5.795	7.461	17.300
Adjusted operating expense	3.263	3.720	6.300
Compensation / adjustment allowance	1.500	1.650	2.000
Economic operating profit	1.032	2.091	9.000
Adjusted operating EPS proxy ($)	1.92	2.84	8.35

Revenue and cost assumptions

IP: royalties rise to $3.4bn in FY2027 and $6.2bn in FY2031; license and other IP revenue reaches $3.8bn. Higher-value designs, CSS and data-center penetration drive the assumed royalty growth.

CPUs: $0.3bn in FY2027 and $1.3bn in FY2028 ramp to $15bn in FY2031. The first two years lie between management's $1bn of secured-capacity revenue support and over $2bn of customer demand; demand is not booked revenue. [3]

Costs: IP and CPU gross margins are 98% and 50%. Adjusted operating expense grows to $6.3bn in FY2031, while a separate compensation/adjustment allowance remains an economic expense. At 18% normalized tax and 1.08bn diluted shares, FY2031 adjusted operating EPS is $8.35, below management's greater-than-$9 ambition. Our proxy excludes non-operating income and uses its own margin and tax assumptions. [4]

Stock compensation and reported profit

Q1 FY2027 adjusted operating profit was $531m versus $91m under GAAP: a $440m gap, including $343m of stock compensation. We treat compensation as a cost in the valuation. Other adjustments account for the rest of the gap. [3]

All E figures are analyst assumptions. Quarterly phasing, full annual forecast and accounting conventions are in Appendices 1-4. The operating EPS proxy is not a forecast of reported GAAP or company-adjusted EPS.

Valuation and target price

We use forward earnings multiples to set the price target and a DCF to check the valuation.

Price target calculation

Target construction	Calculation	Value
Public FY2028 EPS snapshot	40x x $3.06	$122.40
Own FY2028 operating EPS proxy	45x x $2.8404	$127.82
Rounded midpoint	($122.40 + $127.82) / 2	$125

The 40-45x range is an analyst judgment. It preserves a roughly 20-35% premium to AMD and Cadence at about 33x their cited forward earnings. Arm has scarce IP economics and faster potential growth, but its new CPU business has not yet earned a permanent 74x multiple. The target needs investor recognition; DCF alone cannot supply a one-year catalyst.

Company	Price ($)	EPS / fiscal period	Forward P/E
Arm	227.80	3.06 / Mar 2028	74.4x
AMD	528.75	15.76 / Dec 2027	33.5x
Cadence	319.51	9.57 / Dec 2027	33.4x
Synopsys	454.63	18.67 / Oct 2027	24.4x

Prices: 16 October close; public adjusted EPS estimates retrieved 17 October. Fiscal dates differ and are not calendarized. EDA peers capture IP characteristics; AMD captures CPU execution. Acquisition and adjustment differences make these cross-checks, not mechanically interchangeable businesses. [7,11-13]

Discounted cash-flow valuation

The base DCF yields **$80.78 today and $89.63 at the horizon**. Assumptions: 11.5% discount rate, 3% terminal growth, 30% terminal return on invested capital, 18% tax, capital spending at 8% of sales and depreciation at 4%. Working capital reaches 20% of annualised sales. Terminal value supplies 66.8% of horizon enterprise value, making sensitivities essential.

Favorable change to base	12-month DCF / share
9% discount rate	$134.24
Economic operating margin +10 percentage points	$116.20
Both changes together	$173.11
Capital spending reduced to depreciation	$95.11

The $125 target remains 39.5% above the base horizon DCF. The price target is based on earnings multiples, rather than an average of the two methods. If only half the price-to-target gap closes, the exit is $176.40 and short return falls to 16.6% after 6% borrow. Full DCF mechanics and reverse valuation: Appendix 3.

Catalysts and risks

The thesis requires a valuation reset within one year. It can lose even when the base valuation is correct.

Window	Evidence to examine	Implication
4 Nov 2026: confirmed earnings	Revenue vs $1.38bn midpoint; forward sales and cost guide	Can earnings support the FY27 ramp without larger recurring costs?
Early / spring 2027: expected results	CPU delivery conversion; FY28 revenue trajectory; compensation	Test $8.25bn FY28 revenue and $3.72bn adjusted operating expense
Summer / autumn 2027: expected updates	Repeat orders, cash collections and silicon gross profit	Test whether premium earnings translate into owner cash flow

Only 4 November is a confirmed release date; subsequent windows are estimates. Earnings can reinforce the premium instead of compressing it. [10]

What could go wrong with the short

October OCP announcements show progress toward production deployments, and Arm reported a favorable jury outcome in its Qualcomm dispute. Both developments support the bull case. Faster CPU adoption, sustained IP royalty growth and greater cost leverage can justify a much higher price. [8,9]

Our full bull case reaches $35bn revenue in FY2031 and $100bn in FY2036, with 60% CPU gross margin and a 9.5% discount rate. Its horizon value is $346.89: a 58.3% short loss after assumed borrow. As another challenge, $9 of FY2031 EPS at 40x, discounted 3.46 years at 11.5%, is about $247 at the horizon. Investors may keep underwriting that outcome.

Exit-price case	Short return after 6% borrow
$125 target	+39.1%
$227.80: no price change	-6.0%
$346.89: full bull DCF	-58.3%

When we would reconsider

Fundamental review: credible FY2028 revenue above $10bn with adjusted operating costs around $3.7bn or lower, sustained CPU margins above the 50% base, and compensation below 15% of sales would require rebuilding the thesis. These are analyst review triggers, not management guidance. Do not wait for an arbitrary price target if the cash-flow case improves.

Implementation: no borrow quote has been obtained. At 3%, 12% and 20% annual borrow, target returns are 42.1%, 33.1% and 25.1%, respectively. Borrow can be recalled and fees can change. SoftBank's disclosed 86.4% ownership in May increases float and squeeze concerns. A price above $300 triggers immediate review, not a guaranteed execution stop. Loss on a short is unbounded. [2]

The modelled target profit is only 0.67x the full-bull loss. The potential valuation gap is large, but so is the risk of being wrong about its timing. No leverage, position size or executable borrow terms are presumed.

Appendix 1: Financial history and forecast

Historical figures are reported data; all future quarters and years are analytical forecasts. USD bn except EPS.

Reported financials	FY2024	FY2025	FY2026
Revenue	3.233	4.007	4.920
Gross profit	3.079	3.886	4.799
Operating expenses	2.968	3.055	3.899
Operating income	0.111	0.831	0.900
Net income	0.306	0.792	0.904
Cash from operations	1.090	0.397	1.524
Property / equipment purchases	0.092	0.219	0.545
SBC in cash-flow reconciliation	1.037	0.820	1.052

Source: FY2026 Form 20-F, consolidated income statements and cash flows, printed pp. 127 and 132-133. FY2024 contains IPO-related compensation effects; do not extrapolate its operating margin. [2]

Quarterly forecast

Period	Revenue	Economic EBIT	Status
Q1 FY27	1.289	0.091	Reported GAAP
Q2 FY27	1.380	0.172	Guide-anchored
Q3 FY27	1.594	0.361	Forecast
Q4 FY27	1.797	0.407	Forecast
Q1 FY28	1.815	0.460	Forecast
Q2 FY28	1.939	0.491	Forecast
Q3 FY28	2.145	0.544	Forecast
Q4 FY28	2.351	0.596	Forecast

Q2 revenue uses the company midpoint; its cost structure is our estimate. Remaining FY2027 revenue is $3.391bn, allocated 47% / 53% to Q3 / Q4. FY2028 revenue is allocated 22% / 23.5% / 26% / 28.5%. These seasonal weights are analytical assumptions, not disclosed orders. Annual gross profit and operating costs reconcile exactly to the fiscal forecast.

The DCF starts from the 30 June 2026 balance sheet and excludes reported Q1 operating cash generation from future flows. Elapsed time to 16 October is 108/365 years. Quarterly periods use 0.25 years; cash within a partly elapsed period is accrued pro rata. This approximation prevents the historical quarter and its opening cash from being valued twice.

FY means year ending 31 March. Historical GAAP operating profit and forecast economic operating profit are not identical accounting measures. The Excel workbook reconciles reported figures, forecast statements and economic cash flow.

Appendix 2: Operating assumptions

The tables below set out the revenue, cost and scenario assumptions used in the valuation.

Revenue drivers	FY27E	FY28E	FY29E	FY30E	FY31E
Royalty revenue	3.40	4.20	4.90	5.60	6.20
License / other IP	2.36	2.75	3.10	3.50	3.80
Own CPU revenue	0.30	1.30	4.00	8.90	15.00
Total revenue	6.06	8.25	12.00	18.00	25.00

Royalty revenue combines shipment exposure and greater value per design; the public data do not support a precise unit-by-unit forecast. License revenue is modelled separately because timing and contract concentration can obscure recurring growth. CPU sales are the highest-uncertainty input. At hypothetical average selling prices of $1,000 / $2,000 / $3,000, $15bn revenue implies 15m / 7.5m / 5m annual units. These are feasibility checks, not disclosed volumes or selling prices.

Annual base-case forecast

FY end	IP	CPU	Adj. OpEx	Comp. adj.	Econ. EBIT
2027	5.76	0.30	3.263	1.50	1.032
2028	6.95	1.30	3.720	1.65	2.091
2029	8.00	4.00	4.280	1.80	3.760
2030	9.10	8.90	4.920	1.95	6.498
2031	10.00	15.00	6.300	2.00	9.000
2032	11.10	19.00	7.200	2.20	10.978
2033	12.20	22.00	8.000	2.40	12.556
2034	13.30	25.00	8.800	2.60	14.134
2035	14.40	28.00	9.600	2.80	15.712
2036	15.50	31.00	10.400	3.00	17.290

Gross profit = 98% x IP revenue + 50% x CPU revenue. Economic EBIT = gross profit - adjusted operating expense - compensation/ adjustment allowance. The allowance includes recurring compensation economics and associated adjustments; it is not a separately reported GAAP SBC forecast.

Bear, base and bull assumptions

Assumption	Bear	Base	Bull
FY2031 IP / CPU revenue	8.2 / 5.0	10.0 / 15.0	12.0 / 23.0
FY2036 total revenue	21.0	46.5	100.0
IP / CPU gross margin	97% / 45%	98% / 50%	99% / 60%
FY2031 adj. OpEx / comp.	4.8 / 1.9	6.3 / 2.0	6.0 / 1.8
Discount rate	13.0%	11.5%	9.5%
Horizon DCF / share	$27.78	$89.63	$346.89

Bear/base/bull refer to business outcomes for the equity, not to the direction of the short position. Tax, terminal growth, capital-spending ratio, depreciation and working-capital ratio are held constant across these cases. No probability weights are assigned.

Appendix 3: DCF calculations

USD bn. End-period discounting; owner cash flow retains compensation economics. (All terms defined at bottom of this page)

FCFF = EBIT x (1 - tax) + depreciation - capital spending - change in operating working capital. No SBC add-back. Terminal FCFF = final-year NOPAT x (1 + g) x (1 - g / ROIC); terminal value = terminal FCFF / (WACC - g). The 11.5% WACC is a judgmental equity hurdle for execution and concentration risk, not a claimed regression-derived beta estimate. No material financial debt is modelled.

Period	NOPAT	D&A	Capex	Change NWC	FCFF
FY27 Q2-Q4	0.771	0.191	0.382	0.445	0.136
FY28	1.715	0.330	0.660	0.443	0.941
FY29	3.083	0.480	0.960	0.519	2.084
FY30	5.328	0.720	1.440	1.200	3.408
FY31	7.380	1.000	2.000	1.400	4.980
FY32	9.002	1.204	2.408	1.020	6.778
FY33	10.296	1.368	2.736	0.820	8.108
FY34	11.590	1.532	3.064	0.820	9.238
FY35	12.884	1.696	3.392	0.820	10.368
FY36	14.178	1.860	3.720	0.820	11.498

Terminal FCFF = $13.143bn. At the October 2027 horizon: explicit-flow PV $30.596bn + terminal PV $61.603bn = EV $92.199bn. Add projected economic cash $4.311bn and 50% of $0.589bn equity investments; divide by 1.08bn shares = $89.63. Cash includes pro-rata economic free cash accumulation, not a forecast reported GAAP cash balance.

Horizon value per share: discount rate versus terminal growth

WACC / growth	2%	3%	4%
9%	$122.52	$134.24	$150.56
10%	$104.56	$112.44	$122.88
11.5%	$85.01	$89.63	$95.45
13%	$71.05	$73.92	$77.40

Reverse DCF: multiplying the entire base revenue path by 2.93x, while preserving each period's economic margin and reinvestment ratios, supports $227.80 today. This implies roughly $73.2bn FY2031 revenue. It is a conditional hurdle, not an assertion that this is the market's literal forecast: higher margins, a lower required return or greater terminal durability can substitute for revenue.

The 30% terminal ROIC implies reinvestment of 10% of NOPAT at 3% growth. Terminal economics replace, rather than add to, the explicit-period reinvestment ratios. This is a mature-state normalization; the high terminal contribution is a material model limitation.

FCFF: Free cash flow to firm, NOPAT: Net operating profit after tax, ROIC: Return on invested capital, WACC: Weighted average cost of capital, g: Perpetual growth rate after the explicit forecast period,

Appendix 4: Accounting and model structure

Excel model based on calculations and assumptions listed below:

Opening balance sheet and compensation

June cash and short-term investments total $3.888bn. Deduct the disclosed $0.265bn July DreamBig acquisition: opening valuation cash is $3.623bn. Equity investments of $0.589bn receive a 50% recovery haircut. Operating working capital proxy is $0.993bn: receivables, current/non-current contract assets and prepaid assets, less compensation accruals, contract liabilities and other current liabilities. Grouped disclosures limit precision. [3,5]

Lease costs remain operating costs; lease liabilities are not also subtracted from enterprise value. The model has no separate financial-debt charge. With 1.08bn shares held constant, non-cash SBC is added back in operating cash flow and offset by assumed repurchases in financing cash flow. Compensation remains an economic cost in FCFF; no additional dilution charge is applied.

Short return calculations

Measure	Calculation / convention	Result
Gross return on initial notional	(227.80 - 125) / 227.80	45.1%
Net notional return; one year	Gross return - 6% borrow; zero dividend	39.1%
Illustrative collateral XIRR	50% initial margin; quarterly fees	75.3%

Collateral illustration per share: 16 Oct 2026 -$113.90; 16 Jan / 16 Apr / 16 Jul 2027 -$3.417 each; 16 Oct 2027 +$213.283. Sale proceeds stay restricted until cover. No interest, rebate, commissions, tax or margin calls are modelled. The IRR is conditional on this cash-flow convention, not a broker quote or a promised levered return. Actual fees may accrue on changing marked-to-market value.

Excel model and report reconciliation

Workbook tabs	Report reference	Model content
Sources / Historical	Appendix 1	Reported financials, market inputs and source links
Assumptions / Operating	Main 2-3; Appendix 2	Case selector, revenue, margins, costs and compensation
Statements	Main 3; Appendix 4	Linked statements, cash and equity roll-forwards, FCFF bridge
DCF	Main 4-5; Appendix 3	Cash-flow valuation, sensitivities and reverse DCF
Comps / Short return	Main 1, 4-5	Peer multiples, target price, borrowing costs and XIRR
Summary / Checks	Key figures throughout	Forecast overview, accounting and report reconciliations

Model freeze: 17 October 2026.

Appendix 5: References

Public sources retrieved through 17 October 2026. Bracketed references identify evidence; forecasts are our assumptions.

[1] Competition rules and organizer website - Eligibility, date, horizon, page limits, submission and AI rules; linked from nanyangcapitalspc.com.

[2] Arm FY2026 Form 20-F - Filed 26 May 2026. Business, concentration, ownership, revenue note and consolidated statements.

[3] Arm Q1 FY2027 shareholder letter - 29 July 2026. Results, Q2 guidance, CPU demand/capacity, balance sheet and non-GAAP reconciliation.

[4] Arm Everywhere: management transcript - 24 March 2026. CFO presentation: FY2031 ambitions, CPU market and illustrative monetisation.

[5] Arm July 2026 Form 6-K - 29 July 2026. Note 16: subsequent acquisition of DreamBig on 1 July for approximately $265m.

[6] ARM daily stock-price history - 16 October close $227.80; 29 September close $293.67. Secondary market-data source.

[7] ARM analyst estimates - S&P Global / Stock Analysis snapshot updated 18 September: FY27/28 revenue and adjusted EPS.

[8] Arm: OCP Global Summit 2026 - 15 October 2026. Production deployment announcements; company perspective, not independent validation.

[9] Arm: Qualcomm legal dispute - 13 October 2026. Company account of jury outcome; no independent legal valuation assumed.

[10] Arm quarterly and annual results calendar - Confirms 4 November 2026 earnings event; later catalyst dates are estimated windows.

[11] AMD public forecast snapshot - Price and FY2027 adjusted EPS used only for forward-multiple comparison.

[12] Cadence public forecast snapshot - Price and FY2027 adjusted EPS; IP-adjacent comparison, different end-market exposure.

[13] Synopsys public forecast snapshot - Price and FY2027 adjusted EPS; acquisition/accounting differences constrain comparability.